

To avoid reciprocal tariffs, lock down trade deal with the US

The economic **consequences** stemming from the uncertainty **unleashed** by US President Donald Trump's tariff policies **are** becoming visible. Countries across the world are being affected. On Tuesday, the **International Monetary Fund** lowered its **forecast** for global growth and trade this year. **Alongside**, the Fund cut India's growth estimate by 30 **basis points** to 6.2 per cent. A day later, the World Bank also lowered the country's growth **projection**, **pegging** growth at 6.3 per cent this year, down from its earlier **assessment** of 6.7 per cent. Some expect an even greater hit to growth. The **RBI**, however, **is** less **pessimistic**. It has **scaled down** its estimate of economic growth by just 20 basis points, pegging growth at 6.5 per cent.

The **impact** to the economy **is** likely to be felt in many ways. Exports of goods will be hit. Indian IT firms that derive a **substantial** share of their revenues from the US are also likely to witness a challenging environment as American companies **scale back**, possibly delaying **existing** projects and fresh deals. Some export **hubs** like Tiruppur, though, **may** benefit. The uncertainty is also likely to **constrain** fresh investments in the economy, especially as countries **seek** to redirect their exports. Alongside, the **volatility** in the financial markets **may** also make **overseas** fundraising difficult, even as commodity prices may remain **subdued**. **Brent crude oil** is currently **hovering** around \$67 per barrel. Lower oil prices will be a positive for government finances.

In its last meeting, the RBI's monetary policy committee had cut the **repo rate** by 25 basis points **in order to stimulate** the economy. But, **at this juncture**, there is a case for deeper rate cuts. In fact, MPC member Nagesh Kumar has noted that "one could be more ambitious and target a 50 basis point cut, which in my view may be more effective than two cuts of 25 basis points each". However, as per the World Bank, "the **benefits** to private investment from **monetary easing** and regulatory **streamlining** **are** expected to be **offset** by global economic weakness and policy uncertainty". Greater clarity over **the latter** will emerge in the weeks and months ahead as countries try to **stitch** trade deals with the US. Scott Bessent, the US Treasury Secretary, has **reportedly** indicated the possibility of India being the first country to finalise a trade agreement. Successful **closure** of the deal would help the country avoid reciprocal tariffs and reduce uncertainty, providing clarity to both global and domestic firms.

- Red/blue coloring of words in the sentence indicates subject verb relationship; where 'red' denotes 'subject' and 'blue' denotes 'verb'. **[Practice Exercise]**
- **Basis point** – 100 basis point = 1 %

Vocabulary

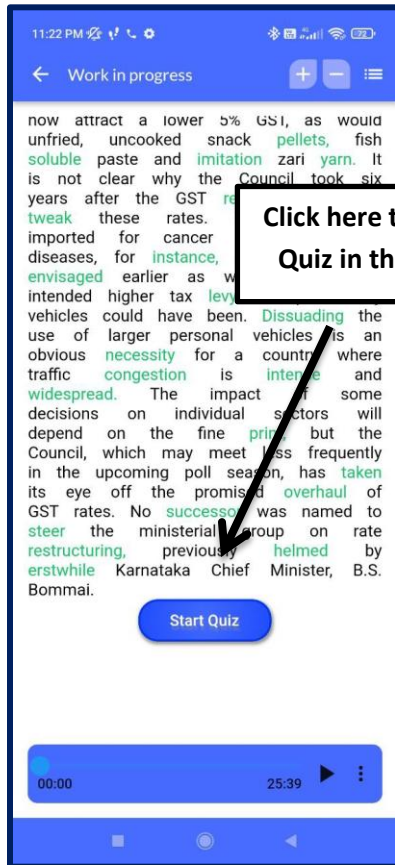
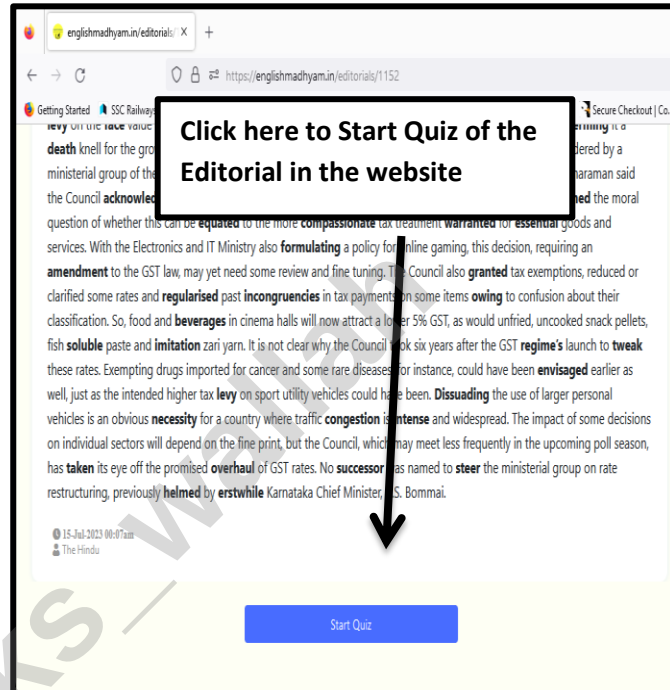
1. **Reciprocal tariff** (noun) – a tax or trade restriction imposed by one country on another in response to a similar action taken by that country पारस्परिक शुल्क
2. **Consequence** (noun) – result, outcome, effect, repercussion, aftermath परिणाम
3. **Stem from** (phrasal verb) – arise from, originate in, come from, derive from, result from से उत्पन्न होना
4. **Unleash** (verb) – release, trigger, activate, initiate, set off शुरू करना
5. **International Monetary Fund (IMF)** (noun) – a global organization that works to foster global monetary cooperation, secure financial stability, and promote high employment and sustainable economic growth.
6. **Forecast** (noun) – prediction, projection, outlook, estimate, prognosis पूर्वानुमान
7. **Alongside** (adverb) – beside, together with, in addition to, along with, concurrently साथ-साथ
8. **Projection** (noun) – estimate, prediction, forecast, outlook, expectation अनुमान
9. **Peg** (verb) – fix, set, determine, anchor, assign निर्धारित करना
10. **Assessment** (noun) – evaluation, analysis, appraisal, judgment, estimation मूल्यांकन
11. **Pessimistic** (adjective) – negative, gloomy, hopeless, doubtful, cynical निराशावादी
12. **Scale down** (phrasal verb) – reduce, decrease, lessen, cut down, lower घटाना
13. **Substantial** (adjective) – significant, considerable, major, meaningful, large महत्वपूर्ण / बड़ा
14. **Scale back** (phrasal verb) – reduce, cut back, downsize, minimize, retract घटाना
15. **Existing** (adjective) – current, present, ongoing, established, prevailing मौजूदा
16. **Constrain** (verb) – restrict, limit, curb, inhibit, confine रोकना
17. **Seek** (verb) – pursue, try, attempt, aim for, strive प्रयास करना
18. **Volatility** (noun) – instability, fluctuation, unpredictability, inconsistency, turbulence अस्थिरता
19. **Overseas** (adjective) – foreign, international, external, abroad, global विदेश स्थित
20. **Subdued** (adjective) – muted, low, weak, restrained, soft मंद
21. **Brent crude oil** (noun) – a type of crude oil extracted from the North Sea oilfields, serving as a global benchmark for oil pricing

22. **Hover** (around) (verb) – float, fluctuate, linger, drift, stay near आसपास मंडराना
23. **Repo rate** (noun) – a rate used by RBI for commercial banks to borrow money against various collaterals.
24. **In order to** (phrase) – for the purpose of, so as to, to, with the aim of, intending to ताकि
25. **Stimulate** (verb) – boost, encourage, spur, energize, trigger प्रोत्साहित करना
26. **At this juncture** (phrase) – at this point, currently, at this time, now, at this stage इस मोड़ पर
27. **Monetary easing** (noun) – Refers to actions a central bank takes to stimulate economic growth by increasing the money supply and lowering interest rates
28. **Streamline** (verb) – simplify, organize, optimize, structure, rationalize सुव्यवस्थित करना
29. **Offset** (verb) – counterbalance, neutralize, compensate, negate, cancel out भरपाई करना
30. **The latter** (noun) – Here it refers to 'policy uncertainty'.
31. **Stitch** (verb) – connect, bring together, formulate, put together, arrange जोड़ना
32. **Reportedly** (adverb) – allegedly, supposedly, apparently, according to reports, said to be बताया गया है कि
33. **Closure** (noun) – conclusion, ending, finalization, completion, wrap-up समाप्ति

Summary of the Editorial

1. US President Donald Trump's tariff policies have created global economic uncertainty.
2. The IMF has lowered global growth and trade forecasts due to these policies.
3. India's growth estimate was cut by the IMF to **6.2%**, a drop of 30 basis points.
4. The World Bank also reduced India's growth projection to **6.3%** from **6.7%**.
5. The RBI remains slightly more optimistic, revising growth to **6.5%**, a 20-basis-point reduction.
6. India's export sector, especially goods and IT services, is likely to be negatively affected.
7. US-dependent Indian IT firms may face delays in ongoing and future projects.
8. Some export hubs like Tiruppur might gain from trade realignments.
9. Trade uncertainty may hinder fresh investments in the Indian economy.
10. Financial market volatility could make it harder for Indian companies to raise funds abroad.
11. Commodities like crude oil may see subdued prices; Brent crude is around \$67 per barrel.
12. Lower oil prices could benefit India's fiscal health.
13. The RBI has already cut the repo rate by 25 basis points to stimulate growth.
14. A stronger rate cut of 50 basis points is being recommended by MPC member Nagesh Kumar.
15. Finalizing a trade deal with the US could help India avoid reciprocal tariffs and bring economic clarity.

Practice Exercise: SSC Pattern Based

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